

Our dual momentum approach using both absolute and relative momentum to manage asset allocation is a major paradigm shift from what investors usually have done. Typically, investors have a permanent allocation to diversifying assets, such as bonds, since they do not have a way to exit equities early on in bear markets.

Greater integration of world markets now and higher intermarket correlations are other reasons that permanent asset allocations may not make as much sense as they once did. Converging asset correlations under market stress means that permanent diversification may not provide the risk reduction that investors want. For example, when U.S. and non-U.S. equities enjoy returns that are one standard deviation above average, which is typical of bull markets, their monthly correlation is -0.17 . However, when equity returns are one standard deviation below average, which is typical of bear markets, the monthly correlation between U.S. and non-U.S. equities rises to 0.76 . Dual momentum can take us from naive diversification to a dynamically adaptive asset allocation approach that keeps us better in tune with changing market regimes and less exposed to converging market correlations.

LOOK-BACK PERIOD

The momentum formation or look-back period is the amount of history we use to measure momentum and select our momentum-based portfolio. We saw earlier that the best look-back period across most markets is generally 6 to 12 months.

The majority of academic literature covering both relative and absolute momentum agrees that a 12-month look-back period gives the best performance. A number of commercial momentum applications also use a 12-month look-back period.¹ We will similarly use a 12-month look-back period and apply it to both types of momentum. Other look-back periods also deliver satisfactory results. However, a look-back period at the long end of the 6- to 12-month effective range minimizes portfolio turnover and transaction costs.

In dealing with individual stocks, one often skips the most recent week or month in order to disentangle the intermediate momentum effect from the